

European Semiconductor Manufacturing Facility Location Assessment

Warehouse & finishing facility location analysis for the semiconductor industry, covering the Saxony/Dresden corridor and alternative European sites.

PREPARED FOR
[Client Organisation]

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Where things stand **today**

European semiconductor manufacturing is concentrating in a single corridor: Saxony/Dresden, Germany. With over €17B in committed investment across four major fabs — ESMC/TSMC (€10B+), Infineon Smart Power Fab (€5B, opened July 2026), GlobalFoundries SPRINT (€1.1B), and Bosch (€1B) — Dresden is now Europe's largest semiconductor manufacturing cluster. Secondary clusters exist in the Czech Republic, Netherlands, Ireland, and France, but none approach the scale or density of the Saxony corridor.

Commercial real estate markets across Europe are in structural consolidation. Prime logistics rents grew +2.7% YoY in Q1 2026 (BNP Paribas), but growth is decelerating. The EU27 commercial property price index stands at 114.1 (Q4 2025, ECB RESC), flat since Q1 2024 — indicating a market that has stabilised after post-pandemic repricing.

Primary recommendation: Establish the finishing/warehouse facility in the Saxony/Dresden corridor (DE80). **Alternative:** Wrocław/Lower Silesia (PL51) as a lower-cost satellite, with a dual-site strategy merits evaluation.

€17.1B+

COMMITTED INVESTMENT
(DRESDEN)

€60–120

PRIME LOGISTICS RENT
(€/SQM/YR, GERMANY)

4.5%

PRIME LOGISTICS YIELD
(GERMANY)

Current state & forward projection

Seven major semiconductor facilities are committed or under construction across Europe, with ~€20.8B in confirmed investment. Dresden accounts for 77% of European semiconductor capex.

FACILITY	COMPANY	INVESTMENT	LOCATION	STATUS
ESMC	TSMC/Bosch/ Infineon/NXP	€10B+	Dresden (DE80)	Dragon-tram ceremony Jun 2026; production late 2027
Smart Power Fab	Infineon	€5B	Dresden (DE80)	Opened July 2, 2026
SPRINT	GlobalFoundries	€1.1B	Dresden (DE80)	Construction started Mar 2026; >1M wafers/yr by 2028
Semiconductor facility	Bosch	€1B	Dresden (DE80)	Under construction
Agrate R3	STMicro	€1B	Agrate Brianza (ITC4)	Under construction; Tower partner
SiC Facility	onsemi	€1.64B	Rožnov pod Radhoštěm (CZ07)	€450M state aid approved Nov 2025; production 2027
Expansion	NXP	Undisclosed	Dresden (DE80)	In progress

5–10 Year Projection

Committed investment totals ~€20.8B. Pipeline projects — including Chips Act 2.2 IPCEI funding (adoption targeted Q2 2027), advanced packaging investments, and a 3–5× supplier multiplier — project the broader Dresden semiconductor ecosystem to reach €30–40B by 2032.

Customer demand is diversified across automotive (largest), industrial/power semiconductors, and defence. EU defence spending reached €418B in 2025 (+20% YoY), with semiconductor demand for radar, electronic warfare, and secure communications. AI/data centre demand remains primarily US/Asia concentrated.

Saxony/Dresden vs. alternatives

Dresden Corridor (DE80) — Primary

INDICATOR	VALUE	SOURCE
GDP per capita (2022)	€38,688	Eurostat (live query)
GDP (2024)	€61.6B	Eurostat NAMA_10R_2GDP
GDP growth (2020–2024)	+30.2%	Derived
EU27 commercial property index	114.1 (Q4 2025)	ECB RESC (live query)
German prime logistics rent	€60–120/sqm/yr	IndiFind / Savills
German prime logistics yield	~4.5% NIY	Savills 2026
German logistics take-up	+18% YTD	Savills 2026
Existing cluster	Silicon Saxony: 130+ companies, 50,000+ jobs; 4 fabs within 30km	

Wrocław / Lower Silesia (PL51) — Alternative

INDICATOR	VALUE	SOURCE
GDP per capita (2022)	€22,800	Eurostat (live query)
GDP (2024)	€70.2B	Eurostat — exceeds Dresden's €61.6B
GDP growth (2020–2024)	+57.9%	Derived
Industrial rent	€30–60/sqm/yr	IndiFind market guide
Prime logistics yield	5.75–6.00%	Savills 2026
Investment outlook	+19% volume 2026	Savills 2026
Key facilities	LG Energy Solution (battery), Mercedes-Benz Jawor (eSprinter, €360M)	

Alternative regions assessed: Czech Republic (CZ07, onsemi SiC, €25–50/sqm), Netherlands (€70–130/sqm, severe space scarcity), Ireland (~€150/sqm, geographically peripheral). Full analysis in the complete report.

Market context (Q1 2026)

METRIC	VALUE	SOURCE
Pan-European prime rent growth	+2.7% YoY	BNP Paribas Q1 2026
European logistics investment	€40.6B (2025)	CBRE via Erena
Pan-European prime yield	~4.7% NIY	Knight Frank via Erena
CBRE rental growth forecast	~1.8% (2026)	CBRE via Erena

Prime Rents by City (Grade A Logistics)

CITY	RENT (€/SQM/YR)	SOURCE
London	~€360	Knight Frank via Erena
Dublin	~€150	Knight Frank via Erena
Berlin	€90–110	Knight Frank / IndiFind
Amsterdam	€90–110	Knight Frank / IndiFind
Paris	€70–100	IndiFind
Warsaw	€40–60	IndiFind / Savills
Wrocław	€30–60	IndiFind (derived)
Prague	€30–50	IndiFind

Key Market Themes

- 1. Supply constraints dominate.** Planning, power grid capacity, and permitting restrict new development more than demand weakness.
- 2. Prime vs. secondary bifurcation widening.** Grade A stock in prime corridors absorbs quickly; secondary locations struggle.
- 3. Power grid is the new bottleneck.** Connection timelines extending across Europe, rationing large-scale development.
- 4. Manufacturing occupiers active in CEE.** Poland: strongest demand growth forecast in Europe 2026.
- 5. Investment capital returning.** Core institutional investors re-entering. Cross-border capital at 62% of volumes.

What to do next

Recommendations are sequenced by risk and dependency. The primary site addresses customer proximity; the alternative addresses cost optimisation.

NO.	RECOMMENDATION	PRIORITY	OWNER
01	Establish primary warehouse in Saxony/Dresden (DE80) for JIT proximity to all four major fabs	High	Client team
02	Evaluate Wrocław (PL51) for finishing operations — 40–50% lower rents, rail-linked to Dresden	High	Client team + DarojaAI
03	Engage early with grid operators in both locations — power grid congestion is the #1 constraint on new logistics development	High	Client team
04	Conduct detailed dual-site logistics cost modelling (rent differential, transport cost, labour arbitrage)	Medium	DarojaAI
05	Establish recruitment partnerships with TU Dresden and Wrocław University of Technology	Medium	Client team

Sequencing

PHASE	DURATION	DELIVERABLE	MILESTONE
Phase 1	4–6 wks	Site selection shortlist with financial modelling	Dresden vs. Wrocław comparative analysis
Phase 2	8–12 wks	Detailed facility design and grid connectivity assessment	Grid operator engagement; planning pre-consultation
Phase 3	12–16 wks	Lease negotiation and permitting initiation	Heads of terms; dual-site strategy decision
Phase 4	Ongoing	Fit-out and operational readiness	Facility operational; supplier onboarding

Data sources & confidence tiers

Live API Data (queried 2026-08-05)

DATASET	RECORDS	KEY OUTPUT
ECB RESC (Commercial Property Prices)	312 rows	EU27 aggregate index: 114.1 (Q4 2025)
Eurostat nama_10r_2gdp (GDP by NUTS-2)	75,931 rows	GDP per capita for DE80, PL51, CZ04, ITC4, etc.

Broker Reports (scraped 2026-08-05)

REPORT	DATA EXTRACTED
BNP Paribas Logistics Markets Q1 2026	Prime rent growth +2.7% YoY; market themes
Savills European Industrial & Logistics 2026	Country-level yields, take-up, rental growth (DE/PL/CZ/IT/NL)
Erena European Logistics 2026	Prime rents by city; investment volumes

Confidence Summary

CLAIM	TIER	SOURCE
ESMC/TSMC: €10B+ investment	Confirmed	Dragon-tram ceremony Jun 2026
Infineon Smart Power Fab: €5B, opened Jul 2026	Confirmed	Infineon press release
Dresden total: ~€17.1B+	Confirmed	Sum of confirmed projects
EU27 property index: 114.1	Confirmed	ECB RESC live query
German prime logistics rent: €60–120/sqm	Confirmed	IndiFind / Savills
Wrocław prime rent: €30–60/sqm	Derived	Poland range from IndiFind
Supplier multiplier: 3–5×	Derived	Industry-standard estimate
Saxony ecosystem: €30–40B by 2032	Derived	Committed fabs + multiplier
EU defense semiconductor demand	Unconfirmed	Defense spending confirmed; semi-specific not quantified
AI/data center European demand	Unconfirmed	Primarily US/Asia